

September 9, 2022

SUBMITTED VIA CFTC PORTAL

Secretary of the Commission
Office of the Secretariat
U.S. Commodity Futures Trading Commission
Three Lafayette Centre
1155 21st Street, N.W.
Washington, D.C. 20581

**Re: KalshiEx LLC Self-certification of Rule Amendment
Pursuant to Commission Regulation 40.6(a).**

Dear Sir or Madam,

Pursuant to Section 5c(c) of the Commodity Exchange Act (the “Act”) and Section 40.6(a) of the regulations of the Commodity Futures Trading Commission (the “Commission”), KalshiEX LLC (“Exchange”) hereby notifies the Commission of its intent to amend the Exchange fee schedule as described in the attached exhibit. The changes will be effective on September 22, 2022.

Kalshi has determined that this amendment complies with the Act, the Commission’s Core Principles for Designated Contract Markets (“DCM”), and is made in accordance with Kalshi Rulebook Rules 3.6(b)¹ and 3.6(e).² The amendment includes a formulaic explanation of the current fee structure, clarifications as to fees not collected by the Exchange, and creates a separate fee structure for certain markets. Specifically, the amendment lowers the current fee for the Exchange’s indices markets by amending the fee formula for these markets from “fees = round up(0.07 x C x P x (1-P))” to “fees = round up(0.035 x C x P x (1-P))”, where “P” is the price of a contract in dollars (50 cents is 0.5) and “C” is the number of contracts being traded, as described therein.

Kalshi has identified the following Core Principles as potentially being affected by this amendment: Core Principle 2 (Compliance with Rules), Core Principle 4 (Prevention of Market

¹ Kalshi Rulebook Rule 3.6(b) states as follows: “Members may be charged fees in connection with the trading of Contracts in such amounts as may be revised from time to time to be reflected on the Company’s Website”

² Kalshi Rulebook Rule 3.6(e) states as follows: “If Kalshi determines in the future to impose dues or additional fees, the Member will be provided notice of the change at the time the amended fees are filed with the Commission. The new fee structure will be implemented no earlier than on the first available trade date for which the change may be implemented according to the Commission’s self-certification filing requirements as set forth in Commission Regulation 40.6(a).”

Disruption), Core Principle 7 (Availability of General Information), Core Principle 9 (Execution of Transactions), and Core Principle 12 (Protection of Markets and Market Participants).

Core Principle 2, implemented by Regulation 38.151, requires a DCM to provide its members with comparable fee structures. The fee schedule amendments will apply uniformly to all Members of the Exchange. Core Principle 4, implemented by Regulation 38.251, obligates the Exchange to monitor trading on the Exchange to prevent manipulative trading and market abuse. The fee schedule amendments do not compromise the Exchange's current surveillance practices. Core Principle 7, implemented by Regulation 38.401, requires a DCM to make available to the public the terms, conditions, rules, regulations, and specifications of the Exchange. The Exchange fee schedule is currently available on the Exchange website, and will continue to be made available after the amendments discussed herein are implemented. Core Principle 9, implemented by Regulation 38.500, requires the Exchange to provide its members with a competitive, open, and efficient market and mechanism for executing transactions. The fee schedule amendments will not impact a member's ability to execute a transaction on the Exchange. Core Principle 12, implemented by Regulation 38.651, requires the Exchange to protect market participants from abusive practices committed by any party. The fee schedule amendments do not compromise the current protections delineated in Chapter 5 of the Exchange Rulebook.

No substantive opposing views were expressed to the Exchange by its governing board or committee members, members of the Exchange, or market participants. A copy of this submission has been concurrently posted on the Exchange website.

If you have any questions, please do not hesitate to contact me.

Sincerely,

Elie Mishory
Chief Regulatory Officer
KalshiEX LLC
emishory@kalshi.com

Kalshi

Fee Schedule

This document outlines all
fees on Kalshi's exchange.

2nd
Iteration
September
22, 2022





Trading Fees

Trading fees are only charged for orders that are immediately matched with orders sitting on the orderbook. Trading fees are not charged for orders placed that are not immediately matched and are instead left as resting orders on the orderbook.

All trading fees are charged as a variable percentage fee of the expected earnings on an individual contract which is calculated by multiplying the maximum potential earnings from the contract by the implied probability of making those earnings - or the price of the contract divided by \$1. With the exception of specific markets listed below, the current general fee charged for a trade in dollars is given by the following formula:

$$\text{fees} = \text{round up}(0.07 \times C \times P \times (1-P))$$

P = the price of a contract in dollars (50 cents is 0.5)

C = the number of contracts being traded

round up = rounds to the next cent

Settlement Fees

There is no settlement fee.

Processing Fees

There is no processing fee.

Membership Fees

There is no membership fee.

ACH Deposit Fees

There is no fee associated with ACH deposits from your bank account to your Kalshi account. **Wire Deposit Fees**

Fees for wire transfers vary from bank to bank. Kalshi does not charge any additional fees for wire deposit transfers.

Withdrawal Fees

There is a \$2 fee for all withdrawals from your Kalshi account to your linked bank account. Withdrawals by wire are not currently supported.



General Trading Fees Table (See below for fees on specific markets)

Price of 1 contract	Fee for 1 contract	Price for 100 contracts	Fee for 100 contracts
\$0.01	\$0.01	\$1.00	\$0.07
\$0.05	\$0.01	\$5.00	\$0.34
\$0.10	\$0.01	\$10.00	\$0.63
\$0.15	\$0.01	\$15.00	\$0.90
\$0.20	\$0.02	\$20.00	\$1.12
\$0.25	\$0.02	\$25.00	\$1.32
\$0.30	\$0.02	\$30.00	\$1.47
\$0.35	\$0.02	\$35.00	\$1.60
\$0.40	\$0.02	\$40.00	\$1.68
\$0.45	\$0.02	\$45.00	\$1.74
\$0.50	\$0.02	\$50.00	\$1.75
\$0.55	\$0.02	\$55.00	\$1.74
\$0.60	\$0.02	\$60.00	\$1.68

Price of 1 contract	Fee for 1 contract	Price for 100 contracts	Fee for 100 contracts
\$0.65	\$0.02	\$65.00	\$1.60
\$0.70	\$0.02	\$70.00	\$1.47
\$0.75	\$0.02	\$75.00	\$1.32
\$0.80	\$0.02	\$80.00	\$1.12
\$0.85	\$0.01	\$85.00	\$0.90
\$0.90	\$0.01	\$90.00	\$0.63
\$0.95	\$0.01	\$95.00	\$0.34
\$0.99	\$0.01	\$99.00	\$0.07



Specific Trading Fees Table for S&P500¹ and NASDAQ-100² Markets.³

The following fee table applies to all iterations of the S&P500 and Nasdaq-100 markets. For S&P500 markets, whose Rulebook ticker begins with INX, this includes but is not limited to the INXD, INXW, INXM, INXY, INXU, and any other market beginning with the INX ticker. For Nasdaq-100 markets, whose Rulebook ticker begins with NASDAQ100, this includes NASDAQ100D, NASDAQ100W, NASDAQ100M, NASDAQ100Y, NASDAQ100U, and any other market beginning with the NASDAQ100 ticker. The INX and NASDAQ100 market fees are given by the following formula: fees = round up($0.035 \times C \times P \times (1-P)$) as explained above.

Price of 1 contract	Fee for 1 contract	Price for 100 Contracts	Fee for 100 contracts
\$0.01	\$0.01	\$1.00	\$0.04
\$0.05	\$0.01	\$5.00	\$0.17
\$0.10	\$0.01	\$10.00	\$0.32
\$0.15	\$0.01	\$15.00	\$0.45
\$0.20	\$0.01	\$20.00	\$0.56
\$0.25	\$0.01	\$25.00	\$0.66
\$0.30	\$0.01	\$30.00	\$0.74
\$0.35	\$0.01	\$35.00	\$0.80

¹ The official product name for S&P markets is “Will \$INX close <above/below/between> <value> on <date>?” and the Rulebook name for S&P500 markets is \$INX.

² The official product name for Nasdaq-100 markets is “Will the Nasdaq-100 close <date> <above/below/between> <value>?” and the Rulebook name for Nasdaq-100 markets is NASDAQ100.

³ S&P 500 is a registered mark of Standard & Poor’s Financial Services, LLC. Kalshi is not affiliated with Standard & Poor’s and neither it, nor its affiliates, sponsor or endorse Kalshi or its products in any way. In particular, the Kalshi Contracts are not sponsored, endorsed, sold or promoted by Standard & Poor’s. NASDAQ-100 is a registered mark of Nasdaq, Inc. Kalshi is not affiliated with Nasdaq and neither Nasdaq, nor its affiliates, sponsor or endorse Kalshi or its products in any way. In particular, the Kalshi Contracts are not sponsored, endorsed, sold or promoted by Nasdaq. Kalshi does not sponsor, endorse, recommend, or represent in any way the quality, value, utility as a market proxy, utility as a market benchmark, or any other use of any index.

\$0.40	\$0.01	\$40.00	\$0.84
\$0.45	\$0.01	\$45.00	\$0.87
\$0.50	\$0.01	\$50.00	\$0.88
\$0.55	\$0.01	\$55.00	\$0.87
\$0.60	\$0.01	\$60.00	\$0.84
\$0.65	\$0.01	\$65.00	\$0.80
\$0.70	\$0.01	\$70.00	\$0.74
\$0.75	\$0.01	\$75.00	\$0.66
\$0.80	\$0.01	\$80.00	\$0.56
\$0.85	\$0.01	\$85.00	\$0.45
\$0.90	\$0.01	\$90.00	\$0.32
\$0.95	\$0.01	\$95.00	\$0.17
\$0.99	\$0.01	\$99.00	\$0.04



Trading Fees

Trading fees are only charged for orders that are immediately matched with orders sitting on the orderbook. Trading fees are not charged for orders placed that are not immediately matched and are instead left as resting orders on the orderbook.

All trading fees are charged as ~~Kalshi charges~~ a variable percentage fee ~~of~~ on the expected earnings on an individual contract which is: ~~Expected earnings are~~ calculated by multiplying the maximum potential earnings from the contract by the implied probability of ~~you~~ making those earnings - or the price of the contract divided by \$1. ~~With the exception of specific markets listed below, the~~ The current general fee charged for a trade in dollars is given by the following formula:

$$\text{fees} = \text{round up}(0.07 \times C \times P \times (1-P))$$

P = the price of a contract in dollars (50 cents is 0.5)

C = the number of contracts being traded

round up = rounds to the next cent

~~is the variable percentage per contract times the number of contracts in the trade, rounded up to the nearest cent. Please refer to the fee table below for the most up to date fee rates.~~

~~We charge this fee only to "liquidity takers," who place orders that match orders sitting on the orderbook to complete a trade. We do not charge a fee to "liquidity makers" who place an order that rests on the orderbook waiting to be matched.~~

Settlement Fees

There is no settlement fee.

Processing Fees

There is no processing fee.

Membership Fees

There is no membership fee.

ACH Deposit Fees

There is no fee associated with ACH deposits from your bank account to your Kalshi account. ~~and a \$2 fee for all withdrawals from your Kalshi account to your linked bank account.~~

Wire Deposit Fees

Fees for wire transfers vary from bank to bank. Kalshi does not charge any additional fees for wire deposit transfers. ~~Currently, only wire deposits are supported.~~

Withdrawal Fees

There is a \$2 fee for all withdrawals from your Kalshi account to your linked bank account. Withdrawals by wire are not currently supported.



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\$0.90	\$0.01	\$90.00	\$0.32
\$0.95	\$0.01	\$95.00	\$0.17
\$0.99	\$0.01	\$99.00	\$0.04